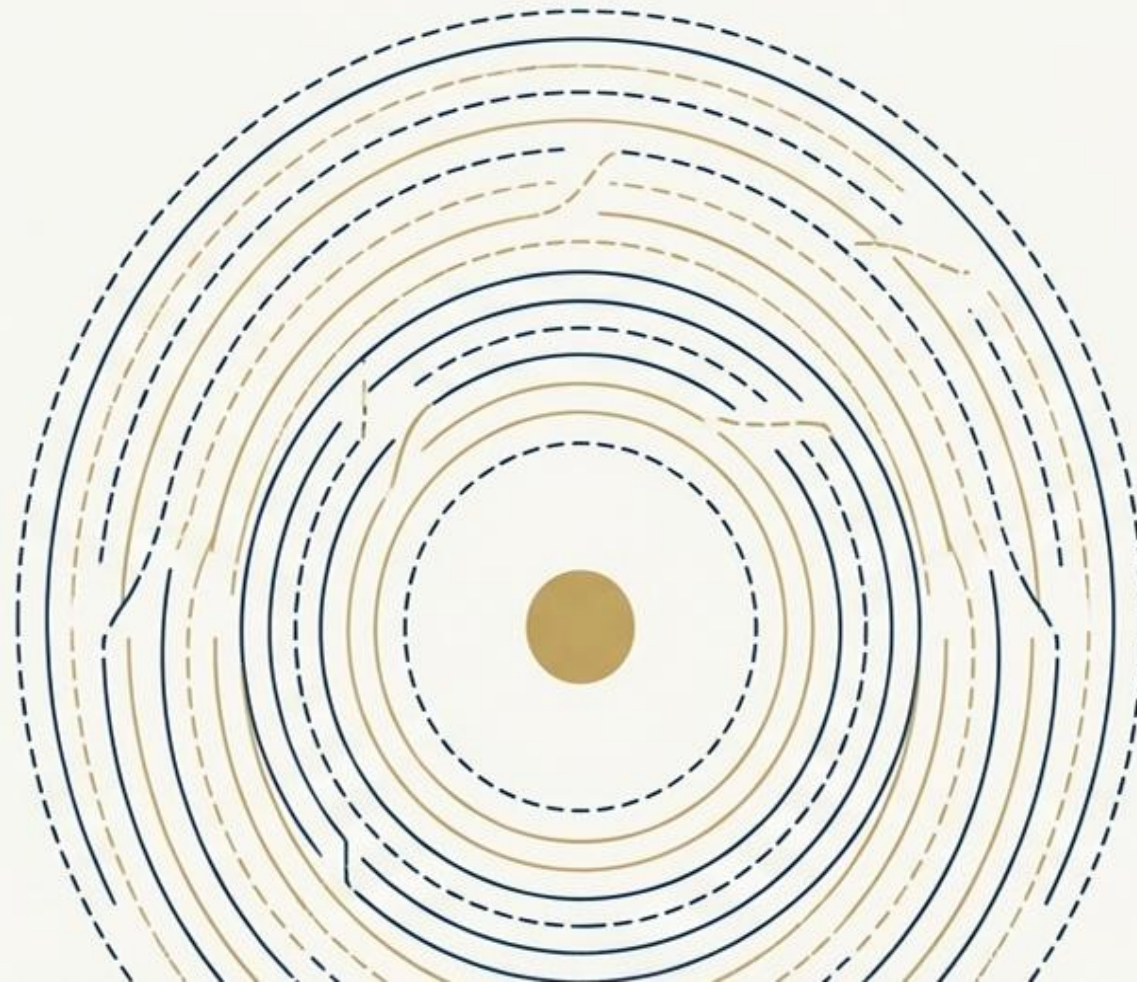
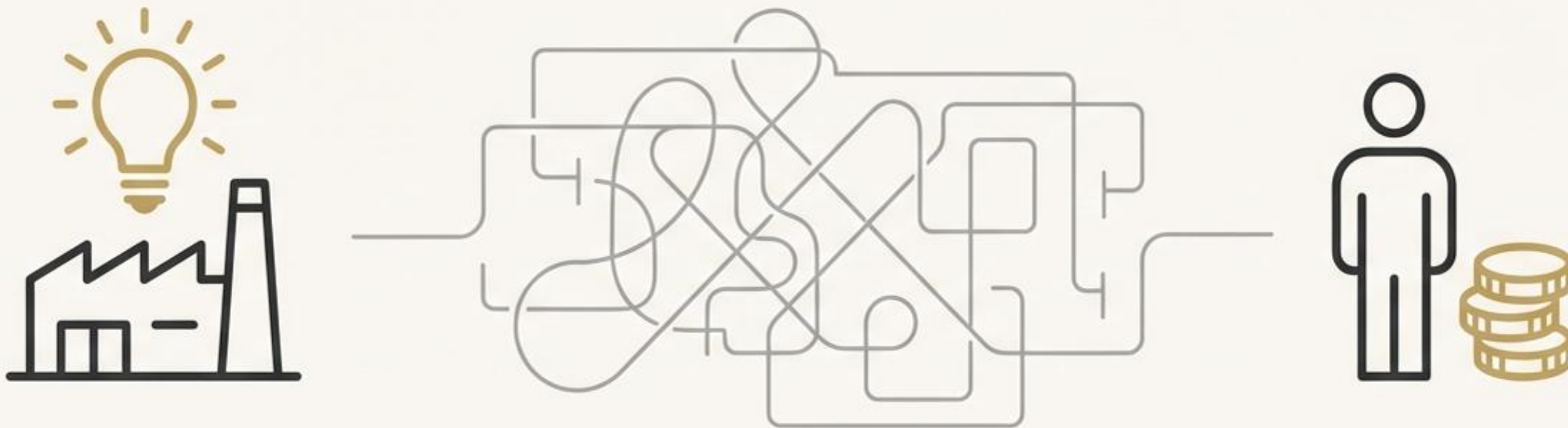


The Investment Industry: A Top-Down View

A Guided Tour of the Financial Ecosystem



Every Economy Starts with a Simple Problem: Connecting Ambition with Capital



People and companies with ideas (Spenders) need money to grow. People with savings (Savers) want to invest that money to earn a return.

Consider a Canadian entrepreneur with a promising business plan. She needs funding to get started.

Finding the right investor on her own is a slow, inefficient, and difficult process. This fundamental friction limits economic growth.

The Financial System Evolved as the Solution to Efficiently Channel Capital.

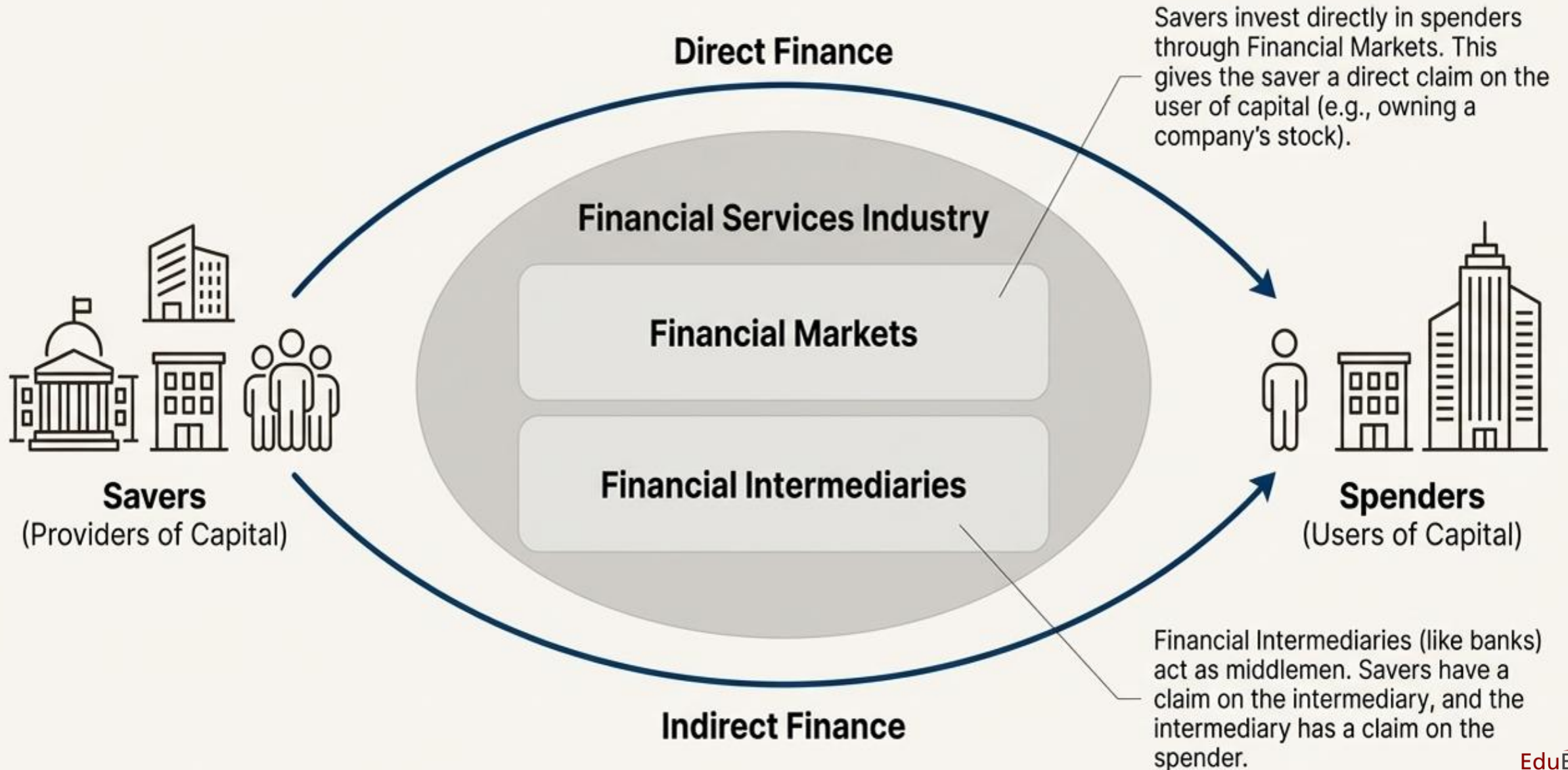


The financial services industry exists to provide the products and services that connect those with surplus money to those who need it. These two core groups are:

Savers (Providers of Capital): Individuals, companies, and governments who spend less than they earn and have savings to invest.

Spenders (Users of Capital): Individuals (for homes, education), companies (for land, equipment), and governments (when tax revenue is insufficient) who need to borrow money.

Capital Flows Through Two Main Pathways: Direct and Indirect Finance.



The System Trades in Claims on Value, Known as Financial Assets.

Asset Types



Real Assets

Physical items with value, used in production (e.g., land, buildings, machinery).



Financial Assets

Claims on real or other financial assets (e.g., a share of stock represents an ownership claim on a company's real assets).

Key Tradable Securities



Debt Securities (Bonds)

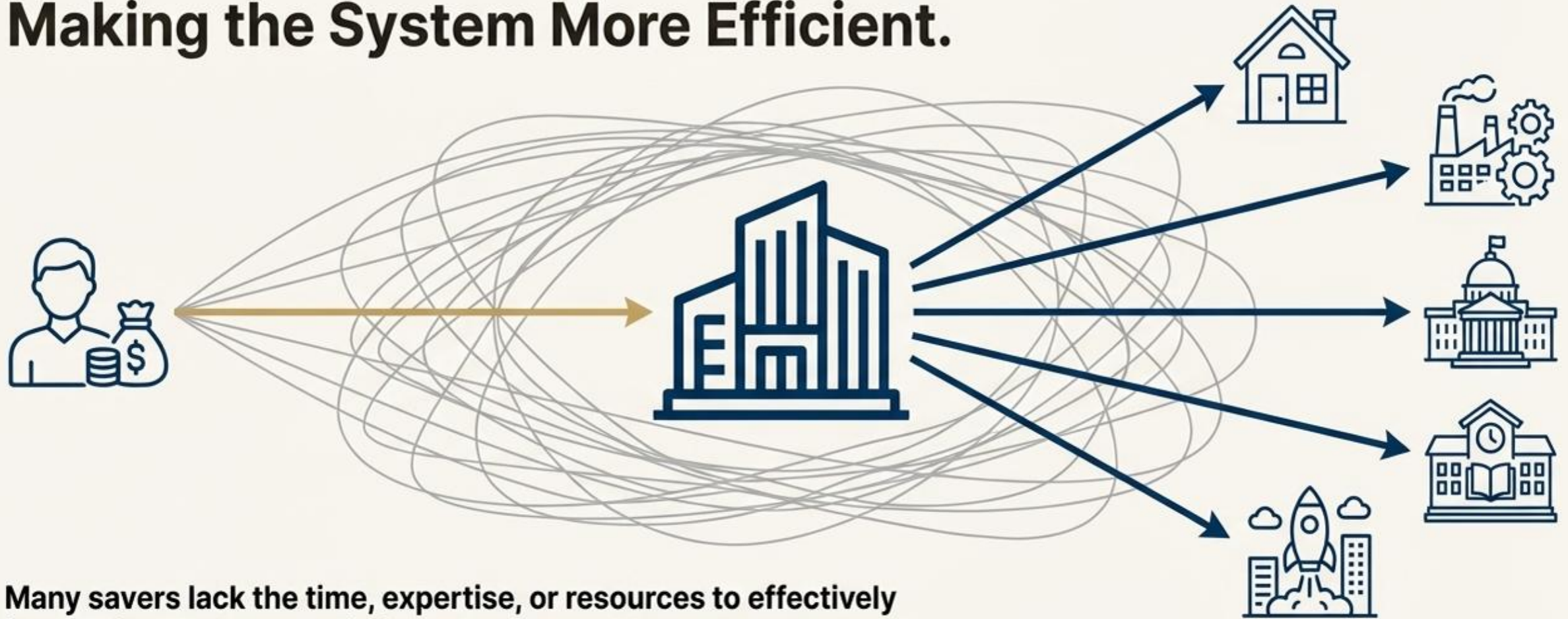
A loan from an investor to a borrower. The borrower repays the principal plus interest. The investor is a lender.



Equity Securities (Stocks/Shares)

An ownership stake in a company. Investors expect a return from price appreciation and potential dividends. The investor is an owner.

Financial Intermediaries Bridge the Gap, Making the System More Efficient.



Many savers lack the time, expertise, or resources to effectively invest directly. Intermediaries solve key problems:

- ✓ **Evaluation:**
They efficiently assess potential borrowers and investments.
- ✓ **Monitoring:**
They track the financial health and credit risk of borrowers.
- ✓ **Cost Reduction:**
They lower overall transaction costs for everyone.

- ✓ **Product Creation:**
They can pool funds and create new, diversified financial products.

Banks and Insurance Companies are Pillars of the Intermediary Landscape.



Banks (Deposit-Taking Institutions)

- ✓ **Function:** Collect deposits from savers and transform them into loans for borrowers. They also provide crucial transaction services (payments, transfers).
- ✓ **Types:** Retail Banks, Commercial Banks, Savings & Loans, Co-operative Banks.
- ✓ **Risk:** The bank, not the depositor, bears the direct risk of borrower default.



Insurance Companies

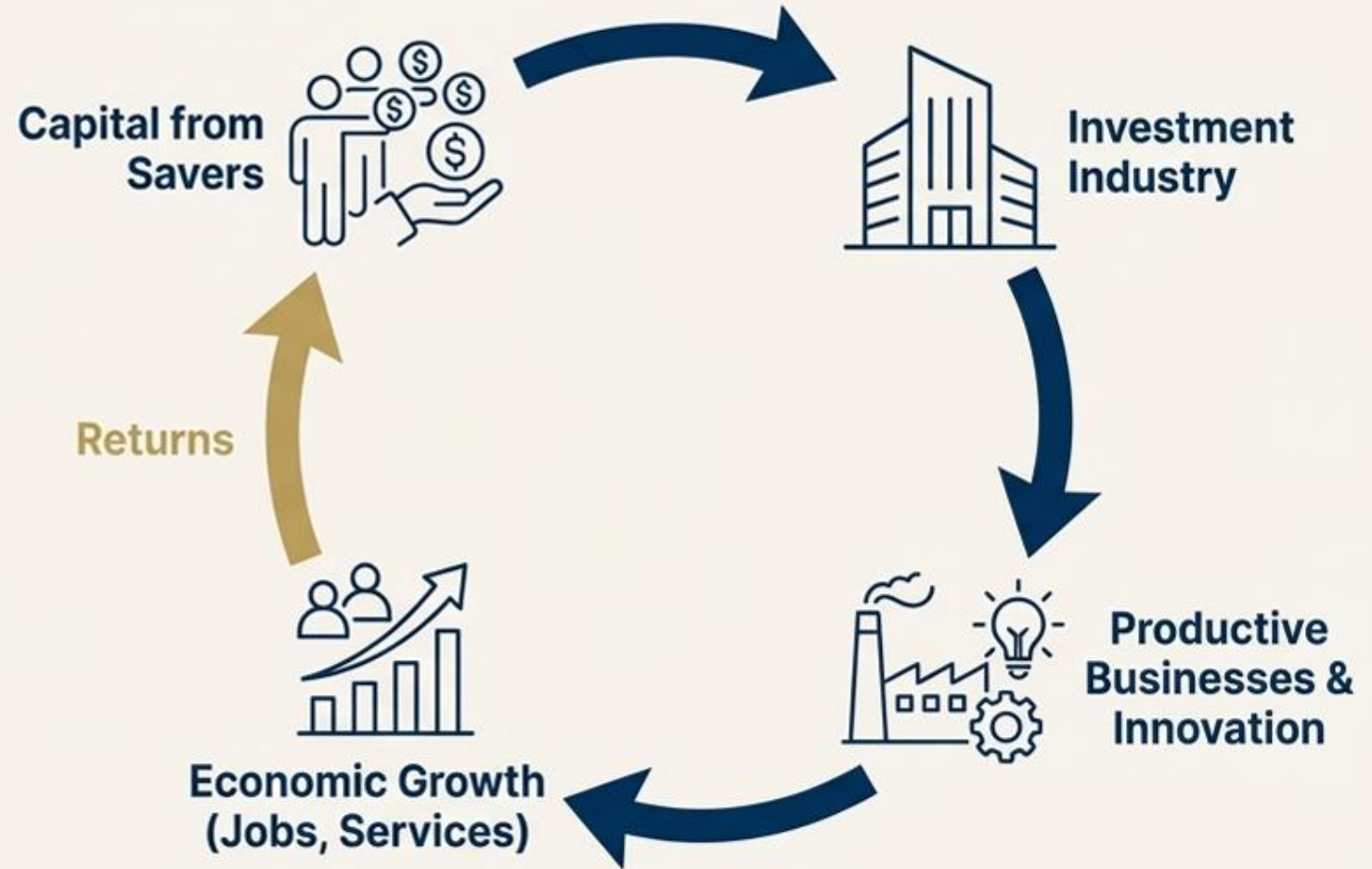
- ✓ **Function:** Help individuals and companies offset risk. They collect premiums in exchange for protection against specific losses (e.g., property damage, death).
- **Role as an Intermediary:** They connect buyers of insurance (who transfer risk) with providers of capital (who bear the risk for a return).
- **Role as an Investor:** They invest the vast sums of collected premiums into financial markets, making them major institutional investors.

A Healthy Investment Industry is the Engine of Economic Growth.

Every economic system must answer how to allocate scarce resources (labor, assets, capital). The investment industry is essential for doing this efficiently.

How it Drives Growth:

- ✓ **Efficient Capital Allocation:**
Channels funds to their most productive uses, funding business expansion and innovation.
- ✓ **Information Provision:**
Professionals gather and analyze data, helping investors determine the true value of assets.
- ✓ **Providing Liquidity:**
Creates markets where assets can be bought and sold quickly and fairly, giving investors confidence.



The Result: More productive investments lead to more jobs, better services, and higher standards of living.

The Industry Empowers Investors with Opportunity, Efficiency, and Protection.

Wide Range of Opportunities:
Access to diverse securities and pooled investment vehicles (e.g., mutual funds).



Essential Services:
Access to financial planning, portfolio management, and research.

**Trust,
Ethics &
Regulation**

Risk Management:
Provides tools and products to understand, manage, and mitigate risk.



Competitive Markets:
Ensures fair prices and encourages innovation and lower costs.

The Foundation of It All: Trust

- The system only works if savers have confidence they will be treated fairly. Without trust, investment dwindles, harming the entire economy.
- This trust is built on a framework of laws, regulations, and, most importantly, ethical and professional conduct.

Let's Meet the Key Participants in the Investment Ecosystem.



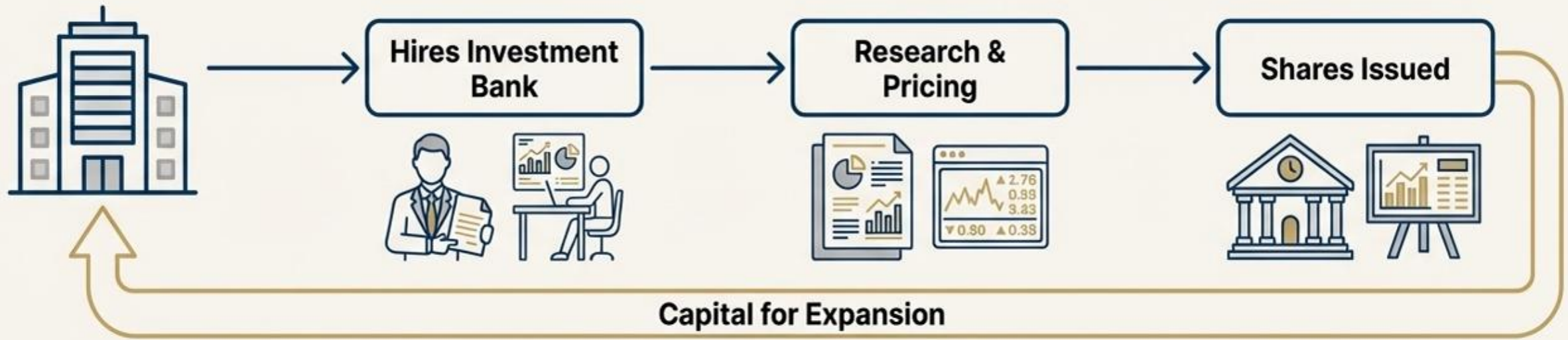
Revisiting the Story:

Five years later, our Canadian entrepreneur's company has grown. To expand further, she needs more capital than internal cash flow can provide.

She decides to take her company public by issuing shares on the Toronto Stock Exchange (TSX). This process, an Initial Public Offering (IPO), requires help from a team of industry specialists.

The industry is composed of a wide array of participants who help spenders raise capital and savers invest their money. We will now explore these key roles.

The Spender's Journey: How Companies Go Public to Raise Capital.



The Key Player: The Investment Bank

The entrepreneur hires an investment bank to manage the IPO.

Role:

They specialize in helping companies and governments issue securities (stocks and bonds). They design the offering, assess investor demand, and help determine the share price.

The Support Team

Sell-Side Analysts: Work for the investment bank to research the company and generate reports for potential investors, building demand for the new shares.

Auditors: Review the company's financial statements to ensure they are reliable and transparent, a requirement for public listing.

The Result

The company successfully sells its shares to the public, raising the needed capital for expansion.

It is now a public company, subject to exchange rules and regulations.

The Providers of Capital are a Diverse Group of Individual and Institutional Investors.



Category 1: Individual Investors

Private persons investing their own money.

- **Retail Investors:** Individuals with smaller amounts of investable assets, typically receive more standardized services.
- **High-Net-Worth (HNW) Investors:** Individuals with significant assets, receiving more customized and sophisticated services.

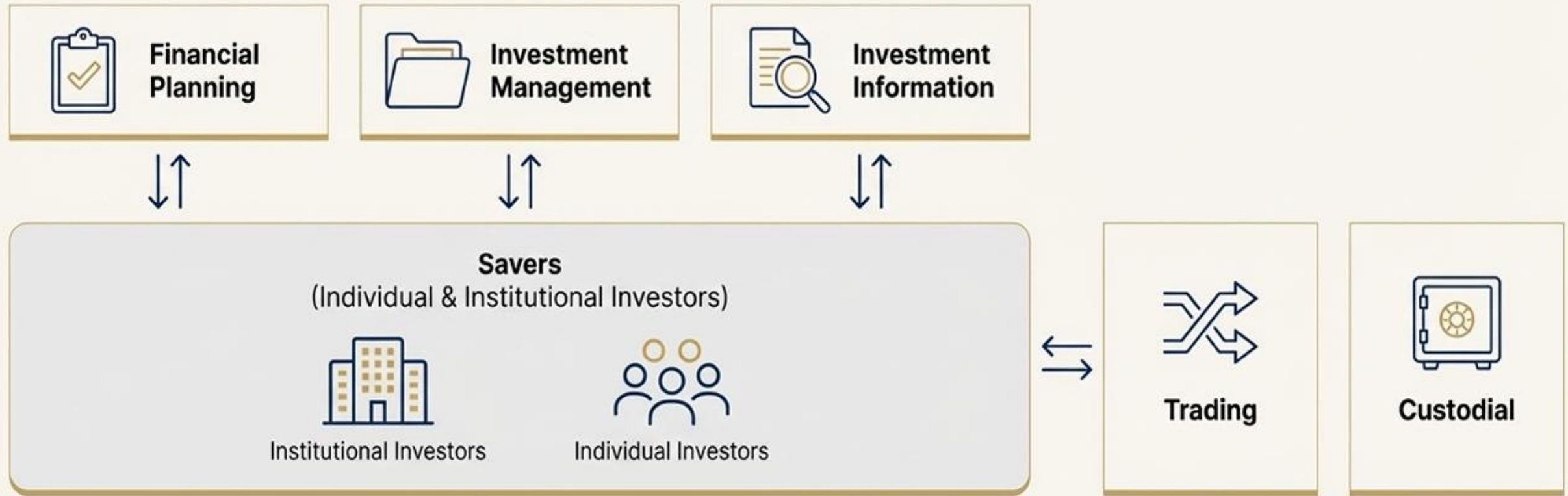


Category 2: Institutional Investors

Organizations investing large pools of capital.

- **Investing to advance their mission:** Pension Plans (for retirees), Endowment Funds (for universities, hospitals), Foundations, Sovereign Wealth Funds (government-owned).
- **Investing on behalf of others:** Investment Firms, Banks, and Insurance Companies that manage client money.

Investors Rely on a Suite of Professional Services to Achieve Their Goals



- 1. Financial Planning:** Professionals who help investors define their goals and create a roadmap to achieve them.
- 2. Investment Management:** Professionals (asset managers) who make investment decisions and manage portfolios on behalf of investors.
- 3. Investment Information:** Data vendors and research providers (including buy-side analysts) that supply the crucial information needed for decision-making.
- 4. Trading:** Services that execute the buying and selling of securities.
- 5. Custodial:** Services that safely hold securities and cash on behalf of clients.

A Network of Specialists Ensures the Market is Liquid and Trades are Secure.



Trading Facilitators

Brokers: Act as *agents*, connecting buyers and sellers without using their own capital.

Dealers: Act as *principals*, trading from their own inventory. They “make markets” by standing ready to buy or sell, providing essential liquidity.



Post-Trade Infrastructure

Clearing Houses & Settlement Agents: The backbone of trading. They confirm, match, and settle trades, ensuring that buyers receive their securities and sellers receive their money.



Post-Trade Infrastructure

Custodians & Depositories: The vaults of the financial system. They hold assets securely on behalf of clients, protecting them from loss or theft.

The Investment Industry is a Living Ecosystem, Constantly Shaped by Powerful Forces.

